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**TAX REFORM AND ITS
IMPACTS ON
AGRIBUSINESS**

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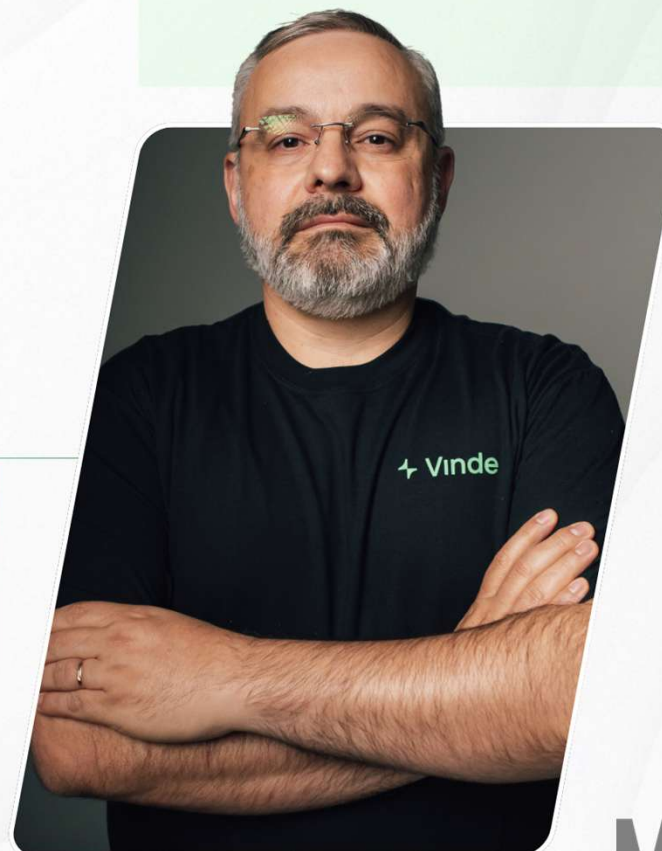
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TAX REFORM IN AGRIBUSINESS

Speaker:
Maurício de Moura

Professional with extensive experience in **tax, fiscal, and customs areas**, with strategic involvement in special regimes, structuring of operations, and analysis of **complex tax scenarios**.

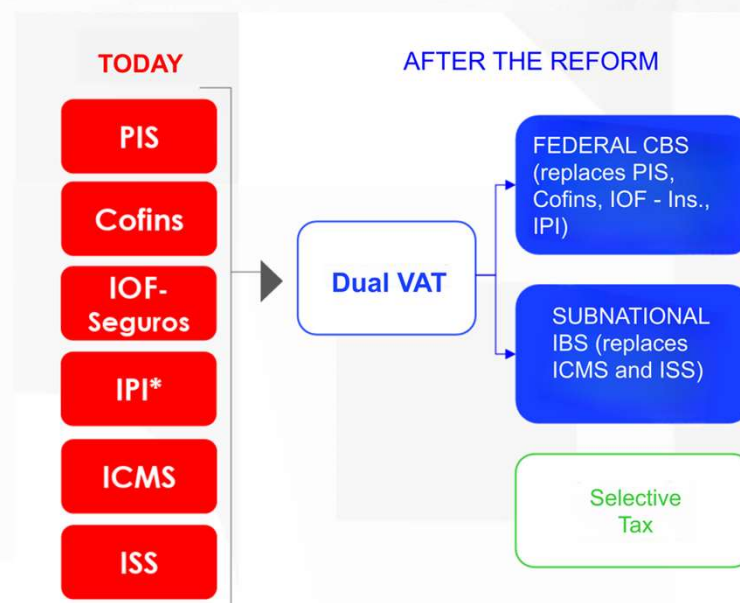


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TAX REFORM CONTEXT

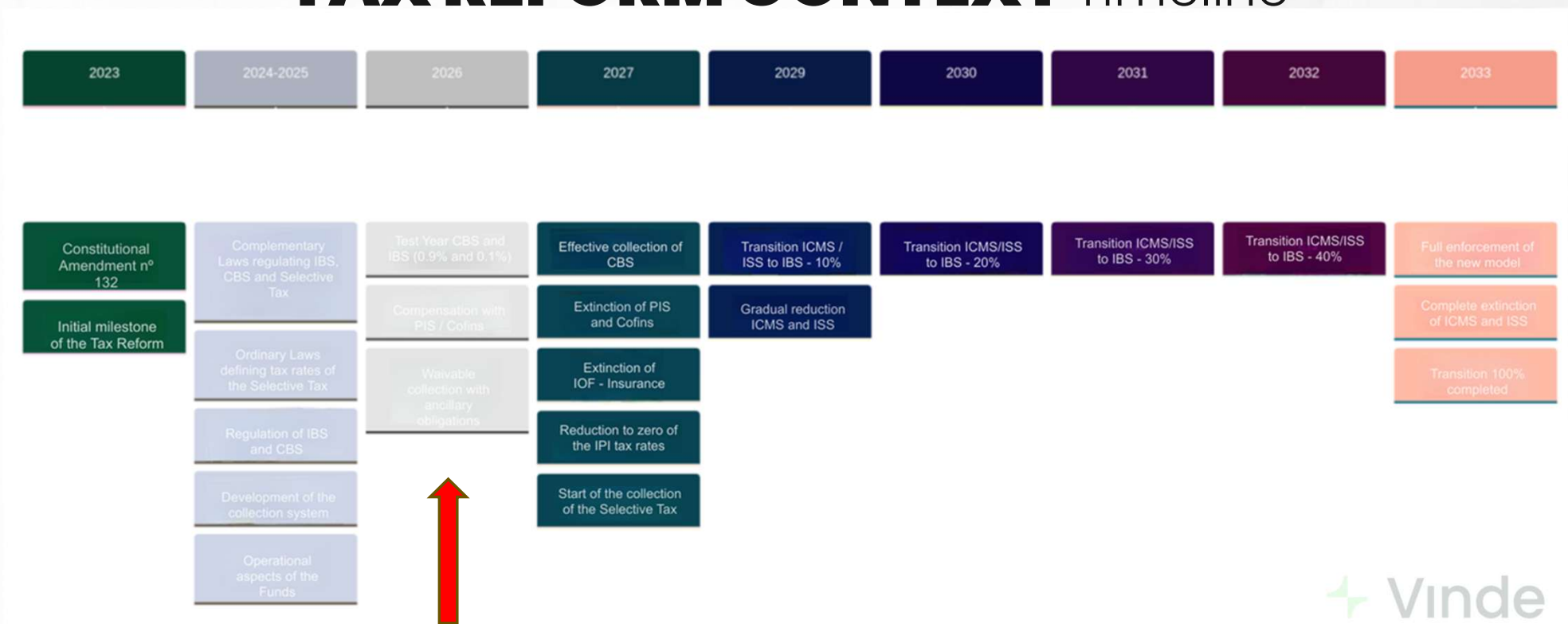
The Tax Reform replaces 6 taxes - PIS, Cofins, IOF - Insurance, IPI *, ICMS and ISS - with an international standard Dual VAT, composed of the Contribution on Goods and Services (CBS), federal, and the Tax on Goods and Services (IBS), subnational (from states and municipalities).

Creates the Selective Tax, of a regulatory nature, to discourage the consumption of products harmful to health or the environment.



* IPI will be maintained for about 5% of the products currently covered

TAX REFORM CONTEXT Timeline



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COMPLEMENTARY LAW 214 WHAT IMPACTS AGRIBUSINESS?

- Reduced rate by 60% (Art. 138)
- Deferral in CBS/IBS collection (§ 2 of art. 138) for agricultural input operations

Examples:

- Agricultural inputs
- Fertilizers and soil conditioners
- Agricultural pesticides
- Seeds and seedlings
- Feed and supplements for animal production
- Veterinary medicines and products
- Bio-inputs

COMPLEMENTARY LAW 214 WHAT IMPACTS AGRIBUSINESS?

Risks and Challenges

- Accumulation of credits: exporters and commodity producers may take time to receive IBS/CBS refunds.
- End of state incentives (ICMS Agreements): risk of losing regional competitiveness.
- Initial complexity of adapting to new electronic systems.
- Short deadline (180 days) to prove export under tax suspension (art. 82).
- Need for working capital until credit reimbursement.



POINTS OF ATTENTION

Deferral of agricultural inputs: a significant change from the current scenario

Current scenario - Law 10.925/04 states the following:

Art. 1 **The rates of the PIS/PASEP contribution and the Contribution for the Financing of Social Security - COFINS** levied on the import and on the gross revenue from sales in the domestic market of:

I - fertilizers classified in Chapter 31, except for veterinary products, **of the Tax on Industrialized Products Incidence Table – TIPI and their raw materials;**

II - Agricultural pesticides classified under position 38.08 of the TIPI **and their raw materials;**

(our emphasis)



New scenario - Complementary Law 214/25 (TR):
Agricultural and Aquaculture Inputs

Art. 138. The IBS and CBS rates levied on the supply of agricultural and aquaculture inputs listed in Annex IX of this Complementary Law, **with the specification of their respective NCM/SH and NBS classifications**, are reduced by 60% (sixty percent).

§ 1 The rate reduction provided for in the **caput of this article only applies to the products referred to in Annex IX of this Complementary Law** that, when required, are registered as agricultural or aquaculture inputs with the competent body of the Ministry of Agriculture and Livestock and Food **Supply**.

§ 2 **The collection of IBS and CBS levied on the following operations with agricultural and aquaculture inputs referred to in the caput is deferred:**

(our emphasis)

POINTS OF ATTENTION

Deferral of agricultural inputs: a significant change from the current scenario

Current scenario:

- 1) Chemical industry imports the active **ingredient with zero PIS/COFINS rate**
- 2) Manufactures the agricultural pesticide
- 3) Sells to producer and/or distributor **with zero PIS/COFINS rate**

No effect on the production chain, due to the entire chain having a “0” PIS/COFINS rate



New scenario:

- 1) Chemical industry imports the active ingredient **with CBS/IBS which can be 100% of the tax base**
- 2) Manufactures the agricultural pesticide
- 3) Sells to producer and/or distributor **with IBS/CBS Deferral**

With an effect on the production chain, due to the chemical industry accumulating IBS/CBS, there will be a pass-through of the financial cost.

POINTS OF ATTENTION

Deferral of agricultural inputs significant change from the current scenario

Current scenario practical example

1) Chemical industry imports **the active** ingredient (NCM 2931.49.14: Glyphosate and its monoisopropylamine salt) with zero PIS/COFINS rate

2) **Manufactures finished product** (NCM 3808.93.24: Herbicide based on glyphosate or its salts, imazaquin or lactofen)

3) Sells to producer and/or distributor the Herbicide based on glyphosate or its salts, imazaquin or lactofen - NCM 3808.93.24 with **zero PIS/COFINS rate**



New scenario:

1) Chemical industry imports the **active ingredient** (NCM 2931.49.14: Glyphosate and its monoisopropylamine salt) with CBS/IBS

2) **Manufactures finished product** (NCM 3808.93.24: Herbicide based on glyphosate or its salts, imazaquin or lactofen)

3) Sells to producer and/or distributor the Herbicide based on glyphosate or its salts, imazaquin or lactofen - NCM 3808.93.24 with **IBS/CBS deferral.**

POINTS OF ATTENTION

SPLIT PAYMENT

Current scenario

- 1) Purchase of inputs, packaging material, and intermediaries
- 2) **Upon receipt of products, registers the invoice and credits taxes (net inventory of creditable taxes) and taxes available for offset in the month.**
- 3) At the end of the month, **calculates taxes (e.g., PIS/COFINS)**; if there are debits, offsets them with credits from the month's purchases and pays the net amount; if there are more credits than debits, generates a credit balance for the next period or for offset against federal taxes.



New scenario:

- 1) Purchase of inputs, packaging material, and intermediaries
- 2) Upon receipt of products, **registers the invoice and credits taxes (net inventory of creditable taxes), but taxes will only be available for offset after their payment, i.e., at the time of purchase.**
- 3) **At the end of the month, calculate taxes (e.g., CBS)**; if there are debits, offset them with credits from purchases only for **what has been paid**. For example, if all purchases for the month have a 45-day payment term, no tax can be offset in that month. Only from the following month.

SUMMARY – POSSIBLE IMPACTS

IBS/CBS Deferral

Impact on the Cash flow of chemical industries, possible price pass-through in product sales to distributors and producers

Recommended action: Map exposure and study alternatives

Split Payment

Impact on Cash flow for all companies, possible price pass-through in product sales to customers (remembering the impact is for all companies, suppliers, and customers)

Recommended action: Map exposure and study alternatives



WILL YOU BE PREPARED FOR 2027? OR WILL YOU FEEL THE IMPACTS WHILE EXECUTING?



Thank you!

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